

SECTION B – WRITTEN QUESTIONS (TOTAL: 80 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (30 marks – approximately 54 minutes)

Pharma Limited ("PHL") is a leading healthcare services provider that offers a full range of retail pharmacy services in Hong Kong. In September 2019, PHL made an offer to the shareholders of Clinical Limited ("CLL") to acquire a controlling interest in the company. The acquisition of this rival was to strengthen PHL's market-leading position in the industry.

By 1 October 2019, when the offer expired, PHL was able to acquire 70% of CLL's shares with HK\$5.50 cash per share. At this date, CLL's equity consisted of the following:

	<u>HK\$</u>
Share capital – 400,000 shares	900,000
General reserves	152,000
Retained earnings	800,000

On 1 October 2019, all the identifiable assets and liabilities of CLL were recorded at amounts equal to fair value except for equipment and inventory:

	Carrying amount	Fair value
	<u>HK\$</u>	<u>HK\$</u>
Equipment (cost HK\$2,500,000)	1,800,000	2,000,000
Inventory	400,000	500,000

Fair value adjustments were to be made on consolidation. On 1 October 2019, the equipment had a remaining useful life of five years. The inventory was all sold out by the year ended 30 September 2020.

Draft statement of profit or loss and other comprehensive income of PHL and CLL on 30 September 2021:

	PHL HK\$	CLL HK\$
Sales revenues	(878,900)	(388,900)
Cost of sales	374,400	112,400
Gross profit	(504,500)	(276,500)
Other revenues	(282,100)	(102,500)
Other expenses	216,200	115,800
Profit before tax	(570,400)	(263,200)
Income tax expense	112,400	50,000
Profit for the period	(458,000)	(213,200)

Draft statement of financial position of PHL and CLL on 30 September 2021:

	PHL HK\$	CLL HK\$
ASSETS		
Property, plant, and equipment	3,650,000	2,360,000
Accumulated depreciation	(1,250,000)	(1,160,000)
Investment in CLL	1,540,000	—
Financial assets	968,500	204,000
Inventory	787,500	610,600
Receivables	320,000	175,000
Total assets	6,016,000	2,189,600
EQUITY AND LIABILITIES		
Retained earnings at 1 Oct 2020	(1,312,000)	(962,000)
Profit for the period	(458,000)	(213,200)
Dividend paid	290,000	140,000
Retained earnings at 30 Sep 2021	(1,480,000)	(1,035,200)
Ordinary share capital	(3,900,000)	(900,000)
General reserves	(459,000)	(152,000)
Total equity	(5,839,000)	(2,087,200)
Total liabilities	(177,000)	(102,400)
	(6,016,000)	(2,189,600)

Additional information:

1. The non-controlling interests in CLL was measured at a fair value of HK\$660,000 on 1 October 2019.
2. On 30 September 2021, PHL held inventory purchased from CLL during the year for HK\$150,000. CLL invoiced goods to PHL at cost plus a 20% mark-up.
3. Goodwill of CLL was impaired by HK\$26,300 in the current year. The impairment loss is allocated between the parent and the non-controlling interest on the same basis as that on which profit or loss is allocated.
4. There have been no new share issuances by CLL since PHL acquired the shares in this company.
5. All of the companies adopt straight-line depreciation policy on their property, plant and equipment.

Required:

- (a) Prepare the consolidated statement of financial position and the consolidated statement of profit or loss and other comprehensive income for PHL Group for the year ended 30 September 2021 in accordance with HKFRS 10 *Consolidated Financial Statements*. Ignore the effect of taxation.**

Note: Consolidation adjustments are to be shown in the form of a worksheet. For this question, you may wish to use the templates printed on the green paper provided to prepare your answers or continue your answer in the script booklet. You have to show the supporting calculation for each figure in the worksheet, but journal entries are not required.

(25 marks)

- (b) Briefly explain the enhancing qualitative characteristics of financial information as described in the HKICPA *Conceptual Framework for Financial Reporting 2018*. Explain how are they related to the fundamental qualitative characteristics.**

(5 marks)

Question 2 (20 marks – approximately 36 minutes)

Violet Limited ("VIL") is a conglomerate incorporated in Hong Kong. The company's draft financial statements for the year ended 31 March 2021 are shown below.

Draft statement of financial position of VIL as at 31 March 2021:

	Notes	31-Mar-20 <u>HK\$'000</u>	31-Mar-21 <u>HK\$'000</u>
ASSETS			
Non-current assets			
Property, plant, and equipment (net)	(iii)	150,000	165,000
Land		12,000	12,000
Intangible assets	(iv)	—	15,000
		<u>162,000</u>	<u>192,000</u>
Current assets			
Prepayments	(ii)	8,100	9,300
Inventory	(i)	64,600	73,300
Trade receivables		72,300	79,500
Interest receivable		2,150	1,100
Cash at bank		62,200	56,880
		<u>209,350</u>	<u>220,080</u>
Total assets		<u>371,350</u>	<u>412,080</u>
EQUITY AND LIABILITIES			
Equity			
Share capital		200,000	200,000
Retained earnings	(v)	37,150	54,780
		<u>237,150</u>	<u>254,780</u>
Non-current liabilities			
Long-term borrowings		65,000	78,000
Current liabilities			
Trade payables		25,500	29,700
Wages and salaries payable		24,000	25,600
Accrued interest		2,300	5,200
Other expenses payable	(ii)	3,400	2,800
Tax payable		14,000	16,000
		<u>134,200</u>	<u>157,300</u>
Total equity and liabilities		<u>371,350</u>	<u>412,080</u>

Draft statement of profit or loss and other comprehensive income of VIL for the year ended 31 March 2021:

	Notes	HK\$'000
Income		
Sales revenues		848,000
Interest		5,200
Gain on sale of plant		14,000
		<u>867,200</u>
Expenses		
Costs of sales		(493,000)
Wages and salaries expense		(166,000)
Depreciation – plant and equipment		(21,700)
Interest expense		(4,100)
Other expenses	(ii)	(56,000)
		<u>(740,800)</u>
Profit before tax		126,400
Income tax expense		(39,500)
Profit for the year		<u>86,900</u>
Other comprehensive income		—
Total comprehensive income		<u><u>86,900</u></u>

Notes:

- (i) All purchases and sales of merchandise inventory were on credit.
- (ii) Prepayments and other expenses were related to services from suppliers.
- (iii) The company purchased new equipment with HK\$50,000,000 cash during the year.
- (iv) All intangible assets were acquired in cash.
- (v) The only changes affecting retained earnings were profit for the year and the cash dividends paid.
- (vi) Interest paid was classified as operating while dividends paid was classified as financing.

Required:

In accordance with HKAS 7 *Statement of Cash Flows*, prepare the statement of cash flows for VIL for the year ended 31 March 2021, with the operating activities section using the direct method.

(20 marks)

Question 3 (10 marks – approximately 18 minutes)

Best Limited ("BEL") is a manufacturer and retailer of printers. The following events took place after the end of the 30 June 2021 reporting period but before the financial statements were authorised for issue on 30 September 2021.

Event 1:

On 5 July 2021, BEL launched its latest printer model M6. As anticipated by BEL's management on 30 June 2021, the demand of its previous model M5 would decline dramatically. In order to sell the remaining stock of M5, BEL reduced the selling price of M5 to 20% below cost. As at 30 June 2021, BEL had inventories of M5 with total costs of HK\$385,600.

Event 2:

On 1 May 2021, BEL bought HK\$1,500,000 worth of shares in Marvel Limited ("MAL"), a listed company in Hong Kong, in anticipation that MAL is the first company launching the vaccine for a recent life-threatening disease. The shares were measured at fair value and accounted for under HKFRS 9 *Financial Instruments*.

On 20 August 2021, another entity announced that it had successfully developed the world's first vaccine for the disease, overtaking MAL. This bad news to MAL led to a hard hit to its share price. The value of BEL's investment in MAL plunged by HK\$900,000 on that day.

Event 3:

On 1 September 2021, BEL declared a final dividend of HK\$1.50 per share to all shareholders holding shares prior to 8 August 2021.

Required:

For each of the above events, explain whether it is an adjusting or non-adjusting event and how they should be accounted for in the financial statements for the year ended 30 June 2021 in accordance with HKAS 10 *Events after the Reporting Period*.

(10 marks)

Question 4 (10 marks – approximately 18 minutes)

Rose Limited ("ROL") owns two properties as at 1 April 2020, the beginning of the current year:

- Tower A is an office building occupied by ROL as its head office.
- Tower B is another office building leased to a third-party.

The properties were acquired on 1 April 2010 when ROL commenced its business. ROL adopts the cost model for property, plant, and equipment and the fair value model for investment property. Depreciation is charged on a straight-line basis with an expected useful life of 50 years.

In a reorganisation, ROL moved its head office from Tower A to Tower B upon the expiry of the lease with the tenant at the end of March 2021. Tower A became vacant and ROL had the intention to lease it out to earn rental income.

	Cost 1 April 2010 HK\$ million	Carrying Amount 1 April 2020 HK\$ million	Fair Value 31 March 2021 HK\$ million
Tower A	28.0	22.4	41.2
Tower B	34.0	48.5	50.0

Required:

In accordance with HKAS 40 *Investment Properties*,

- (a) determine the classification and carrying amount for each of the TWO properties in ROL's statement of financial position as at 31 March 2021. (4 marks)
- (b) identify the nature and determine the amount of each income and expense item to be recognised in ROL's statement of profit or loss and other comprehensive income for the year ended 31 March 2021 in relation to each of the two properties.

Ignore tax effect and rental income from investment properties.

(6 marks)

Question 5 (10 marks – approximately 18 minutes)

Yoyo Limited ("YOL") is a large conglomerate with a range of diversified operations. The company recently completed its first bond issue to raise funds for a business acquisition.

The bonds were issued on 1 July 2020, and YOL raised a total of HK\$1,000,000. Transaction costs of HK\$51,500 were incurred in relation to the bond issuance.

The bonds' maturity date is 30 June 2025. The bonds pay interest of 10% per annum on 30 June each year. The effective interest rate of the bonds is 11.41%.

Required:

In accordance with HKFRS 9 *Financial Instruments*, prepare the journal entries to account for the bonds on 1 July 2020 and for the year ended 30 June 2021 if YOL:

- (a) measured the financial liability at fair value on initial recognition and subsequently at amortised cost.

(5 marks)

- (b) made an election at initial recognition to measure the bonds at fair value through profit or loss. The fair value of the bonds at 30 June 2021 was HK\$956,900.

(5 marks)

* * * END OF EXAMINATION PAPER * * *